

ACCT1

Fundamentals of Accountancy, Business and Management 1

Grade 12, Semester 1 study outline

A summary of section headings and key terms, made by students for revision. It is not the handout and does not replace it.

01. History-Origin and Nature of Accounting

I. DEFINITION OF ACCOUNTING

- It is a systematic process of identifying, recording, measuring, classifying, verifying, summarizing,

II. NATURE OF ACCOUNTING

According to Accounting Theory: <http://accountingtheory.weebly.com/nature-and-scope-of->

III. HISTORY OF ACCOUNTING

Accounting is as old as civilization itself. It has evolved in response to various social and economic needs of men.

Key terms

Accounting - commonly called the "Language of Business" wherein it delivers financial information to different

02. Users of Accounting Information

I. INTERNAL USERS

- They are the primary users of accounting information.

A. Management

Information needed: income/earnings for the period, sales, available cash, production cost

B. Employees

Information needed: profit for the period, salaries paid to employees

C. Owners/Investors/Stockholders

Information needed: profit or income for the period, resources or assets of the business, liabilities of the business

II. EXTERNAL USERS

- They are the secondary users of accounting information.

III. TYPES OF INFORMATION NEEDED BY EACH GROUP OF USERS

Accounting information includes both financial (quantitative) and non-financial (qualitative) information used by

Key terms

Accounting - language employed to communicate financial information of a concern to such parties

Accounting information - presented to internal users usually in the form of management accounts, budgets

03. Concepts and Principles of Accounting

I. BASIC ACCOUNTING PRINCIPLES AND CONCEPTS

A. Business Entity Principle

- A business enterprise is separate and distinct from its owner or investor.

B. Going Concern Principle

- A business is expected to continue indefinitely.

C. Time Period Principle

- Financial statements are to be divided into specific time intervals.

D. Monetary Unit Principle

- Amounts must be stated into a single monetary unit.

E. Historical Cost/Cost Principle

- All business resources acquired should be valued and recorded based on the actual cash equivalent or

F. Matching Principle

- Cost should be matched with the revenue generated.

G. Conservatism Principle

- In case of doubt, assets and income should not be overstated while liabilities and expenses should not be

H. Consistency Principle

- The consistency principle states that companies should use the same accounting treatment for similar

I. Materiality Principle

- In case of assets that are immaterial to make a difference in the financial statements, the company should

J. Objectivity Principle

- Financial statements must be presented with supporting evidence.

K. Revenue Recognition Principle

- The revenue recognition principle states that revenue should be recognized and recorded when it is

L. Accrual Accounting Principle

- Revenue should be recognized when earned regardless of collection and expenses should be recognized

M. Full Disclosure Principle

- All relevant and material information should be reported.

Key terms

- Philippine companies - required to report financial statements annually
- Comparability - extremely important to the end users of financial statements

04. Five Major Accounts and the Accounting Equation Part 1

I. ASSETS

- These are economic resources owned by the company expected for future gain.

II. LIABILITIES

- These include the debts or obligations payable to creditors and other outsiders to which your company

A. Current Liabilities - amounts due to be paid to creditors within twelve months

III. OWNER'S EQUITY

- It defines how much your business is currently worth.

A. Contribution (Investments) - may be start-up capital or a later infusion of cash

IV. THE ACCOUNTING EQUATION

- This represents the relationship between the assets, liabilities, and owner's equity of a business.

Key terms

- Contra-Asset Accounts - accounts deducted from the related asset accounts

05. Five Major Accounts and the Accounting Equation Part 2

I. INCOME OR REVENUE

- It is money the business earns from selling a product or service, or from interest and dividends on

II. EXPENSES

- These are money the company spends that allow a company to operate.

III. ANALYZING THE EFFECTS OF BUSINESS TRANSACTIONS TO THE ACCOUNTING EQUATIONS

The accounting equation shows that for every debit, there must be an equal credit. As we have already

1. Mr. Kim invests cash of Php10,000

- increase in owner's equity - Mr. Kim, Capital

2. Mr. Kim invests equipment amounting to Php100,000

- increase in owner's equity - Mr. Kim, Capital

3. Renders Php5,000 services for cash

Analysis: The business earns cash by rendering services. There is an increase in assets for the cash collected and

4. Purchases Php1,000 supplies on credit

Analysis: Supplies increase the assets of the business. Liabilities correspondingly increased as the supplies were

5. Purchases Php200,000 Land paying cash

Analysis: Land increases the assets of the business. Cash

IV. CHART OF ACCOUNTS

A chart of accounts is a list of all your company's accounts used, and is listed together in one place. The main

Key terms

Income accounts - classified as temporary or nominal accounts. This is because their balance is reset to zero at

06. Book of Accounts

I. JOURNAL

- Companies initially record transactions and events in chronological order (the order in which they occur).

A. General Journal

- The general journal is the most basic journal.

1. The date of the transaction which is entered in the Date Column

4. The Debit Account title which is entered first at the

extreme left margin of the column headed "Account Titles and Explanation," and the amount of the debit is

B. Special Journals

- These journals are used to record specific types of high-volume information that would otherwise be

II. LEDGER

- The ledger refers to the accounting book in which the accounts and their related amounts as recorded in

A. General Ledger

- The general ledger (commonly referred by accounting professionals as GL) is a grouping of all accounts

1. The account portion refers to the Account Title for example: Cash, Accounts Receivable

2. The account number - assigned number for each account title

3. The Date column - when the transaction happened

6. The Debit and Credit columns - recording the amount of transactions from the journal

B. Subsidiary Ledger

- A subsidiary ledger is a group of like accounts that contains the independent data of a specific general

Key terms

Below - a sample of a General Journal

Posting - process of transferring information from the journal to the ledger. Debits in the journal are now

07. Debit and Credit in Business Transactions

4. Debit. Under this column, write the debit amount for each debit account

5. Credit. Under this column, write the credit amount for each credit account

Presume that Gisel Ong established Anime World Gallery with an initial investment of P300,00 on May 2, 2018.

I. THE SIMPLE AND COMPOUND ENTRY

When only two accounts are affected, you call this a simple entry where there is only one debit account and one

II. JOURNALIZING THE TRANSACTIONS

- Journalizing is the process of recording a transaction in a journal after it has been recognized and

III. RULES FOR DEBIT AND CREDIT

A. Your DEBIT to show

B. Your CREDIT to show

IV. THE ANALYSIS OF A TRANSACTION

Following are the steps involved in analyzing transaction:

1. From the business document, determine the kind of transaction or exchange made

4. Apply the rules of debited and credited to show the corresponding increase or decrease

We should analyze the transaction, identify the rules, and what would be the journal entry of the business

Key terms

Following - steps involved in analyzing transaction:

Increase in assets - recorded by a debit to cash. Increase in owner's equity is recorded by a credit to Ong, Capital

08. Nature of Transactions in Service Business

I. SERVICE BUSINESS

Service is a type of business operation engaged in the rendering of services. A service type of business earns based

II. THE ACCOUNTING CYCLE

The life of a business is divided into accounting periods of equal length. A standard sequence of accounting

III. JOURNALIZING IN THE SERVICE BUSINESS

The journal is a chronological record of events or business transactions showing all the effects of each transaction

Key terms

Service - type of business operation engaged in the rendering of services. A service type of business earns based

Examples of service business - dental clinic, barber shop, laundry service

09. Posting and Unadjusted Trial Balance (Service Business)

I. USE OF T-ACCOUNTS

An account is a form of record that summarizes the increases or decreases of any specific accounting value. The

1. Account Title

2. Debit

3. Credit

The T-account and the rules of debit and credit:

II. POSTING

Posting is the process of transferring information from the journal to the ledger. Debits in the journal are

1. From the journal, copy the date of the transaction to the ledger

III. TRIAL BALANCE

The trial balance is the schedule of all balances to prove the equality of the debit and credit. It is a listing of all

1. In their proper numerical order, make a listing of all account titles

4. Foot or add the debit and the credit columns of the trial balance

Key terms

Posting - process of transferring information from the journal to the ledger. Debits in the journal are

10. Adjusting Entries (Service Business)

I. ADJUSTING ENTRIES

It is used to bring the accounts up to date which is needed and must be done at the end of the accounting period.

A. Prepayments - These are expenses already paid but not yet incurred or used

On April 30, 2016, X Co. paid P36,000 worth of insurance premium for two years. Give the Adjusting Journal Entry

B. Unearned or Deferred Income - An income already received but not yet earned

On August 1, 2016, Dr. Yee received P90,000 for dental fees to be rendered in the next 6 months. Give the

C. Accrued Expense - These are expenses already incurred or used, but not yet paid

The company received a Maynilad bill in the amount of P9,800 on Dec. 26, 2016. The company intends to pay on

D. Accrued Income - An income already earned but not yet received

A one-year, 6% note receivable in the amount of P200,000 was received on January 1, 2016. The interest and the

E. Bad Debts / Doubtful Accounts - These are losses due to uncollectible accounts

Accounts Receivable shows a balance of P100,000. It is estimated that 8% of this is uncollectible. Give the

1. Cost - purchase price of depreciable asset

2. Salvage value - estimated value of the asset at the end of its useful life

II. ADJUSTED TRIAL BALANCE

An adjusted trial balance is a financial report that lists all the accounts and their balances after adjustments have

3. Adjusted Trial Balance - Create the adjusted trial

balance by listing all the accounts again, this time including the adjustments. Ensure that the total debits

2. Juana's salary is not yet paid

3. Remaining office supplies for the month amounted to P3,200

Therefore, the adjusted trial balance at the end of February will look like this:

11. Using a 10-column Worksheet (Service Business)

I. WORKSHEET

After the preparation of the unadjusted trial balance, preparation of a worksheet is needed to arrange all the

II. 10-COLUMN WORKSHEET

The 10-column worksheet is an all-in-one spreadsheet showing the transition of account information from the

II. STEPS IN PREPARING A 10-COLUMN WORKSHEET

12. Closing and Reversing Entries (Service Business)

I. Closing Entries

Accumulation of information on the details of operations entails maintaining separate revenue and

1. Close the income accounts

2. Close the expense accounts

3. Close the income summary to capital

4. Close the drawing account

Let's recall the adjusted trial balance of Matapang Computer Repairs:

1. Close the income accounts

Since income accounts have normal credit balances, each revenue account will have to be debited in the amount

2. Close the expense accounts

Expense accounts have normal debit balances, each of these will have to be credited to close the account. Thus, a

3. Close the income summary to capital

Notice that after posting the entries involving the income and expense accounts, the balance of the income

4. Close the drawing account

The drawing account represents the amount withdrawn by the owner either in cash and non-cash assets for

II. Post-Closing Trial Balance

The post-closing trial balance is prepared from the general ledger accounts after the closing entries have been

III. Reversing Entries

Reversing entries are made to simplify the accounting process. They are made on the first day of the next

1. Prepayments (expense method)

2. Unearned Revenues (income method)

3. Accrued expenses

Key terms

Reversing entries - made to simplify the accounting process. They are made on the first day of the next

Following - adjusting entries that can be reversed:

13. Nature of Transactions in Merchandising Business

I. NATURE OF MERCHANDISING BUSINESS

Merchandising businesses (Trading companies) are businesses that are engaged in buying products from

II. TERMINOLOGIES

III. INVENTORY SYSTEMS IN MERCHANDISING BUSINESS

Since a merchandising business purchases goods for sale in the ordinary course of its business operations, the

IV. TRANSACTIONS AND JOURNAL ENTRIES IN A MERCHANDISING BUSINESS

You may recall topics in the book of accounts and the steps in the accounting cycle. Since this is about

A. Recording of Purchases Transactions in the General Journal

A. Recording of Sales Transactions in the General Journal

V. THE SPECIAL JOURNALS

Aside from general journals, special journals may be used to eliminate the problems encountered by businesses in

A. Cash Receipts Journal - used to record all cash that had been received

B. Cash Disbursements Journal - used to record all transactions involving cash payments

Key terms

Purchases account - debited if the business is adapting the Periodic inventory system, the Merchandise inventory

Freight-in - debited and cash is credited. (free on board)

14. Journalizing (Merchandising Business)

A. Periodic Inventory System

On July 1, Bin Go started his business by investing P150,000.

B. Perpetual Inventory System

Here's the list of transactions of Time Trends:

15. Posting and Unadjusted Trial Balance (Merchandising Business)

I. POSTING

After journalizing, the entries are now ready to be posted in the general ledger from the summary of transactions

II. JOURNAL AND LEDGER

A. Periodic Inventory System

Using the transactions given from the next lesson, here's how Bin Go's general journal and general ledger looks

B. Perpetual Inventory System

Using the transactions given from the next lesson, here's how Time Trends' general journal and general ledger

III. TRIAL BALANCE

After posting, you are now ready to prepare the unadjusted trial balance. Trial balance should show that debit and

1. In their proper numerical order, make a listing of all account titles

3. Foot or add the debit and the credit columns of the trial balance

16. Adjusting Entries (Merchandising Business)

Key terms

Adjusting Journal Entries - entries used to update the accounts prior to the preparation of Financial Statements

17. Closing Entries and Post-closing Trial Balance (Merchandising Business)

I. CLOSING ENTRIES

To eliminate the balances of the nominal accounts and prepare them for the next accounting period, closing

II. POST-CLOSING TRIAL BALANCE

After the closing entries, a post-closing trial balance is prepared to verify the equality of the debits and credits.

18. Using a 10-column Worksheet (Merchandising Business)

I. Overview

A 10-column worksheet is a tool used by accountants to organize accounting data and prepare for the preparation

II. Purpose of the Worksheet

- To simplify the preparation of financial statements.

III. Structure of the 10-Column Worksheet

1. Trial Balance

2. Adjustments

3. Adjusted Trial Balance

4. Income Statement

5. Balance Sheet

IV. Merchandising-Specific Accounts

In merchandising businesses, additional accounts may include:

V. Example Entries for a Merchandising Business (Simplified)

Below is a simplified example of how entries may appear in the worksheet:

VI. Tips for Completing the Worksheet

1. Begin with the trial balance from the ledger

2. Add adjustments for items like ending inventory and accruals

3. Prepare the adjusted trial balance

Key terms

Below - simplified example of how entries may appear in the worksheet: